

AN INTRODUCTION TO BUSINESS



*Trade, Enterprise and Organisation
with Cases from Bangladesh*

A TEXTBOOK FOR FIRST-YEAR STUDENTS

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with Cases from Bangladesh*



First edition, in British spelling. Amounts are in Bangladeshi taka (Tk). Laws are summarised in plain words as they stood when the text was written; laws and rules change, so readers should consult the current text of any Act before relying on it.

The running business, Padma Bakery, and its owners are *illustrative*: they are invented to show ideas at work and are not a real firm. Historical cases are real, but each is told in brief.

Plate engravings shown are placeholders, to be replaced by public-domain plates before printing. Set in Libre Caslon Text and IM Fell English.

TO THE READER

This book assumes that you know nothing about business. Every new word is explained when it first appears, and the explanation is in simple English.

How a page works. The wide column holds the main text. The narrow column on the left holds notes. A note in *italic* sums up the paragraph beside it. A note that starts with a word in bold gives the meaning of that word. A bold word in the main text means that the word appears for the first time; it is explained in the note and again in the glossary at the back. Small numbers in the text point to footnotes at the foot of the page. Bold type is never used for ordinary emphasis.

A note marked **GO SLOWLY HERE** shows an idea that many readers find hard. Read it twice, and say its main point aloud in your own words.

How a chapter works. Each chapter opens with a question. It then teaches ideas one layer at a time: the idea, an example, the rule, and the cases where the rule fails. It follows the story of Padma Bakery, a small illustrative business, and ends with a summary, a problem to think through, common mistakes, a true case from history, and review questions. Short answers are at the back.

A word on numbers. Where a chapter uses figures, every step is shown. Begin with the small example, then read the second.

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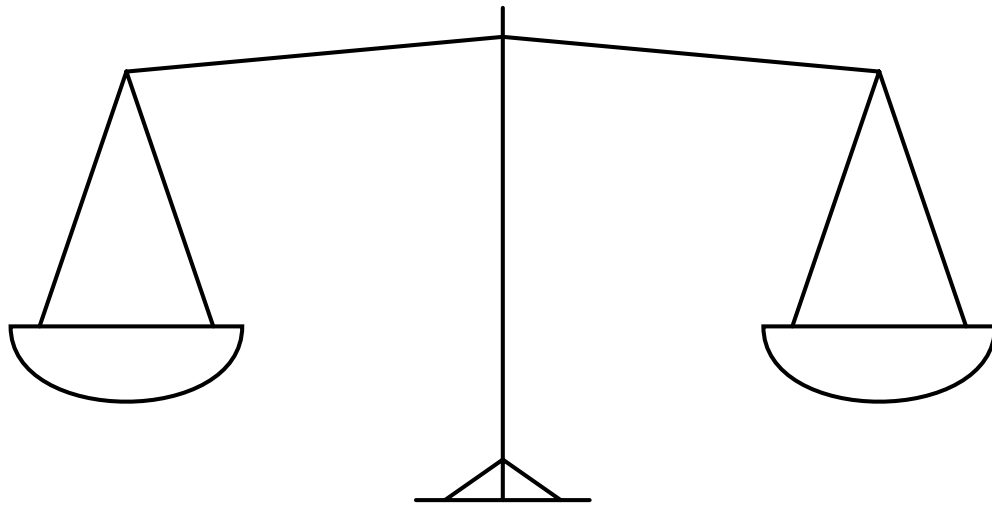


Plate I. [An engraving will be placed here.]

CHAPTER I

The Nature of Business

Is every sale a business, and who decides?



This chapter explains what a business is, how its parts are named, and what it aims to achieve. It ends with the qualities that help a business to last.

A neighbour asks to buy a cake.

A business sells goods or services to earn profit.

Business. An activity that provides goods or services to customers to earn a profit.

Goods. Things you can touch and keep, such as a cake or a chair.

Services. Useful work done for others, such as teaching or transport.

Customer. A person or firm that pays for goods or services.

Profit is what remains after costs are paid.

Profit. The money left from sales after all costs are paid.

Sales. The total money received from customers.

The test: regular selling, for profit.

GO SLOWLY HERE.

Five features mark every business.

Risk. The chance of loss, because the future cannot be known.

Utility. The usefulness that makes something worth buying.
Profit is the reward for taking risk.

THE FIRST QUESTION

Salma Akter bakes cakes at home in Mirpur, Dhaka. One day a neighbour tastes one and asks to buy another. Salma agrees, and the next week three more neighbours ask. Is Salma now in business? Before a single taka is spent on a shop, this question needs an answer, because the way we name an activity decides what we expect of it.¹

The word **business** means an activity that provides goods or services to customers in order to earn a profit. **Goods** are things you can touch, such as a cake. **Services** are useful work done for others, such as transport. A **customer** is a person who pays for them.

Profit means the money left after all costs are paid. Business people use several words for the money that customers pay: *revenue*, *sales* and *turnover*. This book uses one word, **sales**, for the total money received from customers.

Now we can answer the opening question. One sale to a neighbour is a favour. Regular selling to many customers, with the aim of earning profit, is business. By that test, Salma crossed the line in her second week.

WHAT MAKES A BUSINESS A BUSINESS

Five features appear in almost every business. First, it involves *exchange*: goods or services pass to a customer, and money passes back. Second, it is *regular*; dealings repeat. Third, it aims at profit. Fourth, it carries **risk**, which means that the future is not known and a loss may happen. Fifth, it creates **utility**, which means usefulness. Flour has some use; a baked cake is more useful to a hungry customer. The baker has added usefulness, and the customer pays for it.

Risk and profit belong together. Salma buys flour before she knows how many cakes she will sell. If customers do not come, the flour is wasted. The profit she earns is, in part, her reward for accepting this chance of loss.

¹ Taka is the money of Bangladesh. Its short sign in this book is Tk.

Exceptions: some bodies sell but do not seek profit.

There are exceptions. A school sells education, and a charity may sell goods, yet neither aims at profit for its owners. Such bodies are *not-for-profit*. They use business methods but not the profit aim. A hospital may do both: charge fees and treat some patients free.

You should now be able to say: a business sells goods or services, regularly, to earn profit, and it accepts risk.

INDUSTRY, COMMERCE AND TRADE

Three words that students often confuse.

Industry. All activities that produce or change goods, or extract them from nature.

Trade. The buying and selling of goods.

Commerce. Trade together with the services that help trade happen.

Three words are often mixed up. Each has its own meaning. **Industry** means the activities that produce goods or take them from nature, such as farming, mining and making cakes. **Trade** means buying and selling goods. **Commerce** means trade together with all the services that help trade to happen.

TABLE 1. INDUSTRY, TRADE AND COMMERCE COMPARED

Word	What it does	Example
Industry	Produces or extracts goods	Baking cakes in an oven
Trade	Buys and sells goods	Selling cakes to a shop
Commerce	Trade plus its helpers	Selling, banking, transport

Commerce is trade plus its helpers.

Aids to trade. Services that help goods move from maker to buyer, such as banking.

Trade may be local, or between countries.

Wholesale. Selling goods in large amounts to other businesses.

Retail. Selling goods in small amounts to the final user.

The helpers have a name: **aids to trade**. These include banking, insurance, transport, warehousing, advertising and communication. A bank lends money to Salma; a van delivers her cakes; an advertisement tells customers where to find them. None of these makes a cake, but without them selling becomes slow and costly.

Trade has two main kinds. *Home trade* takes place within one country. It may be **wholesale**, which means selling in large amounts to other businesses, or **retail**, which means selling in small amounts to the final user. *Foreign trade* crosses a national border; Chapter VII treats it.

Selling over the internet is commerce too.

E-commerce. Buying and selling through the internet or other electronic networks.

The internet has added a newer form. **E-commerce** means buying and selling through electronic networks. A customer orders a cake on a phone, pays through a mobile wallet, and the cake arrives by rider. Nothing about the idea is new. Only the place of meeting has changed, from a shop to a screen.

The *scope* of business, then, covers all of this: industry that makes goods, trade that sells them, and the aids that connect the two, including newer electronic means. Industry itself has branches. Extractive industry takes goods from nature, as mining and fishing do. Manufacturing changes materials into finished goods. Construction

builds. Service industries, such as banking and teaching, sell work rather than goods.

WHAT A BUSINESS AIMS AT

An objective is a goal the business works toward.

Objective. A goal that a business tries to reach.

Profit keeps the business alive.

Planning, honesty and care for customers.

An **objective** means a goal that a business tries to reach. Most firms have several, and they fall into four groups. *Economic objectives* include earning profit, surviving through bad years, and growing larger. *Social objectives* include fair prices, good goods, and jobs for the community. *Human objectives* include fair pay and safe work for employees. *National objectives* include paying tax and helping the country to produce more.

Profit comes first because it pays the other bills. A business that loses money for long enough must close, and then it can serve no one. Yet profit is the means by which a business stays alive, and not the only purpose. Chapter III returns to how economic and social aims fit together.

What helps a business to last? Experience points to a few pre-requisites. There must be a clear idea that customers want, enough money to begin, and a good location (Chapter II). There must be skill in managing people, honest dealing, and the willingness to change when customers change. A successful owner is usually *alert* to chances, *careful* with money, *honest* with customers, *patient* in hard months and *ready to learn*.

A WORKED CASE

SITUATION. Salma sells 20 cakes a week at Tk 400 each. Flour, sugar, eggs and butter cost Tk 250 per cake. This is the first entry in the case file of Padma Bakery, an illustrative business.

QUESTION. How much profit does Salma earn in one week?

REASONING. Sales equal 20 cakes times Tk 400, which is Tk 8,000. Costs equal 20 cakes times Tk 250, which is Tk 5,000. Profit is sales minus costs, so Tk 8,000 less Tk 5,000.

CONCLUSION. Salma earns Tk 3,000 a week.

CHECK. Each cake earns Tk 400 less Tk 250, which is Tk 150. Twenty cakes at Tk 150 each give Tk 3,000, the same answer.



SUMMARY

A business sells goods or services regularly, for profit, and carries risk. Industry makes or extracts goods, trade sells them, and commerce is trade plus its helpers. Objectives are economic, social, human and national.

THINK IT THROUGH. A tailor sews uniforms for one school, once a year, and charges only the cost of cloth. Is this a business? Which feature is missing?

WHERE PEOPLE GO WRONG. Students often say that *commerce* and *trade* are the same. They are not: commerce is wider, because it

includes the aids. Another mistake is to say that profit is the only objective. It is the first, not the only.

IN HISTORY. In 1776 Adam Smith described a small pin workshop. One worker alone might make hardly one pin a day, he wrote, but ten workers dividing the tasks could make many thousands. The story showed why businesses organise work into specialised parts, an idea Chapter II uses.

SOURCES

Smith (1776), Book I, Chapter 1.

REVIEW QUESTIONS

1. What are the five features of a business?
2. Explain the difference between trade and commerce.
3. Name the four groups of business objectives.

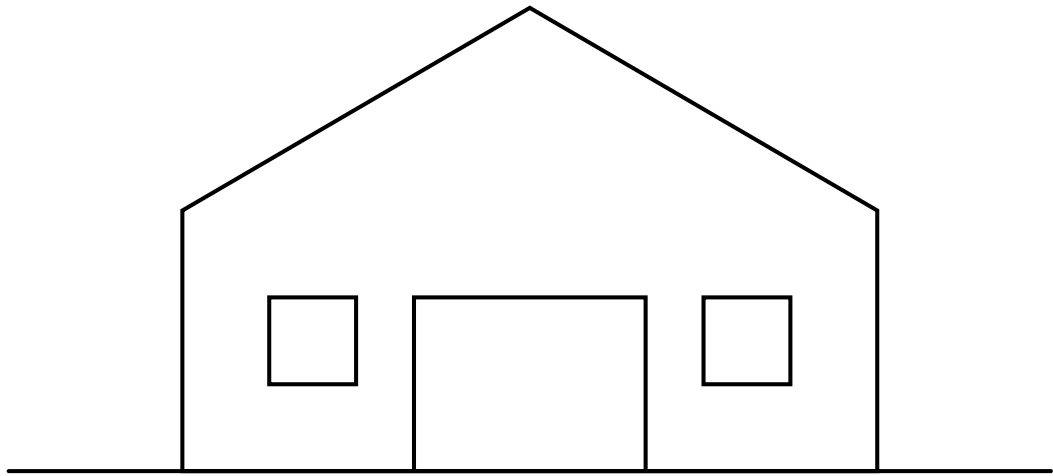


Plate II. [An engraving will be placed here.]

CHAPTER II

Resources and Location

What must Salma gather before the first cake is sold, and where should she bake?



This chapter names the four resources every business needs, explains what each one earns, and sets out the factors that guide the choice of a business site.

THE PUZZLE OF THE EMPTY SHOP

Salma has rented nothing yet. She has a recipe and a wish. To open a shop she must find a room, bakers, an oven, money for flour, and someone to organise it all. Which of these is the most important? The question is harder than it looks, because without any one of them the shop cannot open.

THE FOUR RESOURCES

Economists group business inputs into four.

Factors of production. The resources used to make goods and services: land, labour, capital and organisation.

Land means all gifts of nature.

Land. All natural resources, including soil, water, minerals and the space a building stands on.

Rent. The payment made to the owner of land for its use.

Labour is human work, of mind or body.

Labour. The physical and mental work of people in production.

Wages. The payment made to workers for their labour.

Division of labour. Splitting a job into parts, with each worker doing one part.

The things a business uses to produce goods or services are called **factors of production**. There are four: land, labour, capital and organisation. Each one earns its owner a different reward.

Land means more than soil. It includes water, minerals, forests and the ground under a shop. The reward for the use of land is **rent**. Salma pays rent for her shop room.

Labour means the work of people, whether of hands or of mind. A baker kneading dough and an accountant keeping records both give labour. The reward for labour is **wages**. Labour is more productive when tasks are divided. Adam Smith's pin workshop (Chapter 1) showed this. **Division of labour** means splitting a job into parts so that each worker repeats one part and becomes quick at it.

Capital needs care, because the word has two meanings. In daily life it often means money. In this chapter it means the oven, the

GO SLOWLY HERE.

Capital here means goods used to make goods.

Capital. Man-made goods, such as machines and tools, that are used to produce other goods.

Interest. The payment made for the use of borrowed money or capital.

The entrepreneur organises and takes the risk.

Entrepreneur. A person who organises production and takes the risk of loss.

Each factor can be hard to replace.

Location means the place where a business operates.

Location. The place where a business sets up its premises.

Distance to customers matters most for a shop.

Power, water, rent and rules also count.

Weigh all factors, and add up the costs.

tables and the tools used to make cakes. Money used to buy them is called *finance*. The reward for providing capital is **interest**.

The fourth factor is organisation. The person who brings the other three together, makes the decisions and bears the risk is the **entrepreneur**. Salma is the entrepreneur of Padma Bakery. The reward of the entrepreneur is profit (Chapter I), which may be large or may be a loss.

TABLE 2. THE FOUR FACTORS AND THEIR REWARDS

Factor	Meaning	Reward
Land	Natural resources and space	Rent
Labour	Human work	Wages
Capital	Tools, machines, buildings	Interest
Organisation	Planning and risk-taking	Profit

These factors have limits. Land cannot be moved, and good land is scarce. Skilled labour takes time to train. Capital wears out and must be replaced. An entrepreneur who is careless with one factor will find that the others cannot make up for it. This is why a business plan lists all four.

WHERE TO LOCATE

Location means the place where a business sets up its shop, office or factory. A poor site is costly to change, because moving means new rent, new fittings and lost customers. The choice therefore deserves care.

Several factors guide the choice. *Nearness to customers* matters most for a shop selling cakes, because cakes go stale and buyers will not travel far. *Nearness to raw materials* matters more for a mill or a mine, where the materials are heavy. *Labour* matters, since a site must offer workers with the right skills at fair wages. *Transport* matters, as roads, ports and railways carry goods in and out.

Other factors add to these. A bakery needs steady electricity and clean water. Rent and the price of land differ from place to place. Government rules may forbid certain businesses in certain areas, or offer lower taxes in others. Finally, the *climate*, the risk of flooding, and the safety of the area affect daily work.

No site is best on every count. The owner must weigh the factors and, where possible, add up the costs of each choice. The worked case shows how.

A WORKED CASE

SITUATION. Salma compares two sites. A shop near the Mirpur market rents for Tk 15,000 a month, and delivery to customers costs Tk 2,000. A plot in an industrial area rents for Tk 6,000, but delivery over the longer distance costs Tk 14,000. Both sites are otherwise the same.

QUESTION. Which site has the lower total monthly cost?

REASONING. Market site: Tk 15,000 plus Tk 2,000 equals Tk 17,000. Industrial site: Tk 6,000 plus Tk 14,000 equals Tk 20,000.

CONCLUSION. The market site costs Tk 3,000 a month less, so Salma takes it.

CHECK. The industrial site saves Tk 9,000 in rent but adds Tk 12,000 in delivery. The net difference is Tk 12,000 less Tk 9,000, which is Tk 3,000, the same answer. The case file now records the shop, the oven at Tk 120,000, and two helpers paid Tk 10,000 a month each.



SUMMARY

A business uses four factors of production: land earns rent, labour earns wages, capital earns interest, and organisation earns profit. The site should be chosen by weighing nearness to customers, materials, labour, transport, power, rules and cost.

THINK IT THROUGH. A brick factory is choosing between a site beside a clay field and a site beside a city. Which factors should weigh most? Would your answer change for a shop selling bricks?

WHERE PEOPLE GO WRONG. Students often use *capital* to mean cash only. Here it means goods used to make goods. Another mistake is to pick the cheapest rent without adding the other costs, as the worked case shows.

IN HISTORY. In 1776 Adam Smith counted the benefits of dividing labour in a pin workshop. His idea explains why factories gather skilled workers in one place, and why cities grew around them.

REVIEW QUESTIONS

1. Name the four factors of production and the reward of each.
2. Why should an owner compare total costs and not only rent?
3. List three factors that guide the choice of a location.

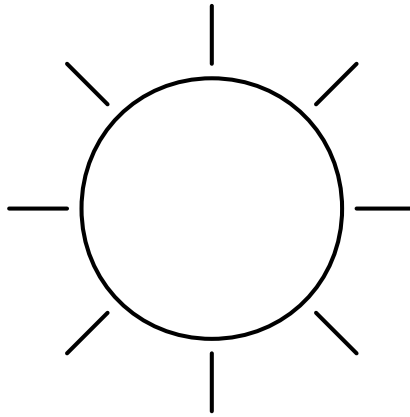


Plate III. [An engraving will be placed here.]

CHAPTER III

The Business and Its World

Can a shop ignore the street, the law and the neighbours?



This chapter explains the forces inside and outside a business, and then asks what a business owes to the people it touches, from workers to investors.

THE PUZZLE OF THE FLOUR PRICE

One morning the price of flour rises by a fifth. Salma did nothing to cause it. A harvest failed in another country, a ship was late, and a price changed in a market she has never seen. Yet her profit falls. A business is therefore not a closed box. It lives among forces that it cannot control, and it also affects the people around it.

THE BUSINESS ENVIRONMENT

The environment is everything around the business.

Business environment. All the forces, inside and outside a business, that affect how it works.

Six outside forces shape most businesses.

Business and environment act on each other.

Responsibility means duties beyond the law.

Social responsibility. The duty of a business to act in ways that benefit society, beyond what the law demands.

Four layers, from profit to giving.

The **business environment** means all the forces that affect how a business works. It has two parts. The *internal environment* is what the owner can control: the owner's aims, the staff, the machines, and the way work is organised. The *external environment* is what the owner cannot control.

Six outside forces matter most. *Economic* forces include prices, incomes and interest rates. *Political and legal* forces include laws, taxes and licences; a bakery needs a food-safety licence. *Social and cultural* forces include tastes and customs; demand for sweets rises before festivals. *Technological* forces include new machines and on-line selling. *Natural* forces include weather, floods and heat. *Competitors, suppliers and customers* form a group often called the market environment.

The relation runs both ways. The environment acts on the business: a new tax raises costs. The business acts on the environment: a large factory changes local jobs, traffic and air. An owner who watches the external environment can prepare, as a farmer who watches the sky prepares for rain.

RESPONSIBILITY TO SOCIETY

Social responsibility means the duty of a business to act in ways that help society, and not only itself. It is often shortened to CSR, for *corporate social responsibility*. The law sets a minimum. Responsibility begins where the minimum ends.

Archie Carroll (1991) pictured four layers of duty. A business must be *profitable* to survive. It must *obey the law*. It should be *ethical*, doing what is fair even where no law demands it. It may be a *good citizen*, giving back to the community. Each layer rests on the one below.

This leads to a useful word. A **stakeholder** means any person or group who is affected by a business. Owners are stakeholders. So are

GO SLOWLY HERE.

A stakeholder is anyone affected by the business.

Stakeholder. Any person or group affected by what a business does.

Customers: safe goods and honest prices.

Workers: fair pay and safe work.

Supplier. A person or firm that sells materials or goods to a business.

How to tell a responsible business.

Milton Friedman held that profit is the duty.

Economic and social aims can support each other.

workers, customers, suppliers, lenders and the local community. The duties of a business differ for each group.

To *customers*, the business owes safe goods, true weights, honest advertising and fair prices. A baker who uses banned colouring harms customers who cannot see the danger.

To *workers*, it owes fair wages, safe conditions and respect. To *suppliers*, a **supplier**, it owes prompt payment and fair dealing. A late payer may ruin a small flour merchant. To *investors*, who put in money, it owes honest accounts and fair use of their funds. To the *community*, it owes clean surroundings and care for the environment.

How can we recognise a responsible business? Look for signs: honest records, safe workplaces, fair pay, goods that match their descriptions, and care for waste and pollution. Such firms keep promises even when no one is checking.

PROFIT AND DUTY TOGETHER

Not everyone agrees on how far duties extend. Milton Friedman (1970) argued that the one responsibility of a business is to raise its profits within the rules of the law. Others reply that a firm which harms its workers or its town will in time lose customers and trust. Their view is that responsibility protects profit in the long run.

The two aims often agree. Safe work reduces accidents, which saves money. Honest dealing keeps customers. Where they conflict, as when safety costs money today, the owner must choose, and the choice shows what the business values. Fair profit and fair dealing together are the usual answer.

A WORKED CASE

SITUATION. Flour for one cake costs Tk 30 at Tk 60 a kilogram, because a cake uses half a kilogram. The price of flour rises by one fifth. All other costs stay the same. Salma sells 20 cakes a week at Tk 400, with a cost of Tk 250 each before the rise.

QUESTION. What is the new weekly profit?

REASONING. One fifth of Tk 60 is Tk 12, so flour becomes Tk 72 a kilogram. Flour per cake is then half of Tk 72, which is Tk 36, a rise of Tk 6. Cost per cake becomes Tk 256. Profit per cake is Tk 400 less Tk 256, which is Tk 144. For 20 cakes, profit is Tk 2,880.

CONCLUSION. Weekly profit falls from Tk 3,000 to Tk 2,880, a fall of Tk 120.

CHECK. Extra cost is Tk 6 a cake. Twenty cakes times Tk 6 equals Tk 120, the same fall.



SUMMARY

The environment of a business has an internal part that the owner controls and an external part that the owner cannot control. Social responsibility asks a firm to do more than the law requires. Each stakeholder has a claim on the business.

THINK IT THROUGH. A factory pours waste water into a river. It breaks no law, because the rule is not yet written. Is it acting responsibly? Which stakeholders are harmed?

WHERE PEOPLE GO WRONG. Many students think social responsibility is only gifts to charity. It is wider; it includes how workers, suppliers and customers are treated every day. Another mistake is to think that the owner alone is a stakeholder.

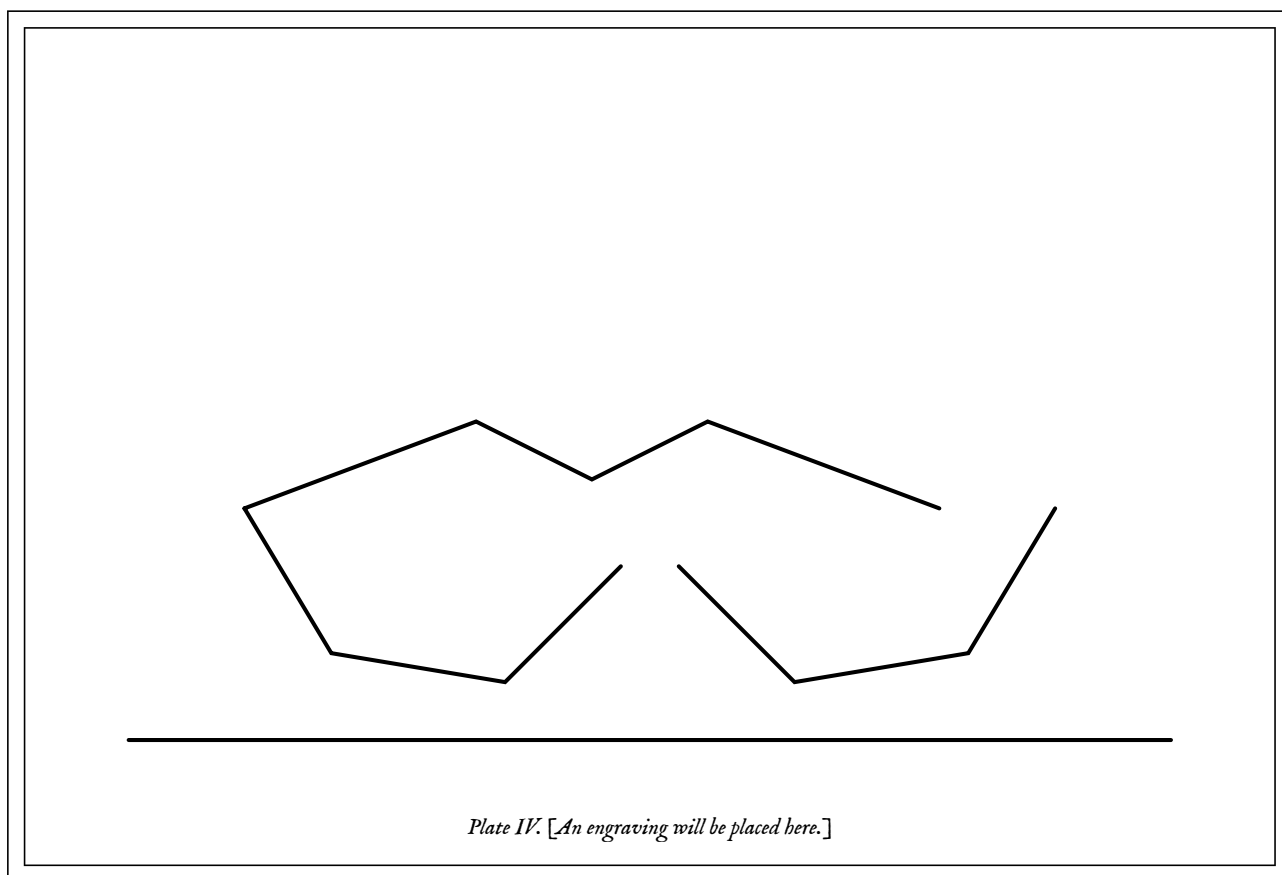
IN HISTORY. On 24 April 2013 the Rana Plaza building in Savar, near Dhaka, collapsed, and more than 1,100 garment workers died. Cracks had been seen the day before. The disaster led to the Accord on Fire and Building Safety in Bangladesh, signed in May 2013. It showed that a firm's duty to workers is real even when the risk is hidden.

SOURCES

Carroll (1991); Friedman (1970).

REVIEW QUESTIONS

1. Name the six outside forces in the business environment.
2. What is a stakeholder? Give two examples.
3. State one reason why a firm may find profit and duty to agree.



CHAPTER IV

The Owner and the Partner

Two people, one undertaking, and the question of who answers for what.



This chapter explains the oldest forms of ownership: the business of one person and the business of several. It sets out what each gains and risks, and how a partnership may end.

THE BUSINESS OF ONE

One owner holds all the control.

Sole proprietorship. A business owned, run and financed by one person.

Strengths: speed, control and a full share of profit.

Weaknesses: small capital, unlimited risk, no continuity.

Unlimited liability. Duty to pay all the business's debts, even from personal property.

Best suited to small, personal work.

Two people, each lacking something, decide to join forces.

Salma's shop began as a business that belongs to one person. Many shops, workshops and farms are of this kind. A **sole proprietorship** means a business owned and controlled by one person, who takes all the profit and bears all the loss. The law does not treat the business and its owner as separate.

This form has real strengths. It is quick to start, since few formalities are needed. The owner decides alone, so decisions are fast. All the profit belongs to the owner, which is a strong reason to work hard. The owner knows each customer, and personal care often wins loyalty. Business affairs can also be kept private.

The weaknesses are equally real. Capital is limited to what the owner can save or borrow. The owner has **unlimited liability**, which means that if the business cannot pay its debts, the owner's house and savings may be used. One person has limited skills and cannot be everywhere. And the business is bound to the life and health of its owner.

The form suits small work that depends on personal skill: a tailor, a barber, a small shop, a repairer, a village farm. These activities need little capital and gain from personal attention. It is for this reason that sole proprietors survive beside large firms. Customers who want a custom garment or a neighbour's shop, and not a standard product, remain with the small owner.

THE IDEA OF PARTNERSHIP

Salma's shop is growing. She needs a larger oven and more money than she has. Anwar Hossain, who has savings and an oven, wishes to join. Neither can do it alone. Before a single sack of flour is ordered, a question stands between them: who owns what, and who answers for what?

Law calls it a partnership when people agree to share profit.

Partnership. A business owned by two or more people who agree to run it together and share its profits.

Partners. The individual owners of a partnership.

Firm. The partners taken together.

A partnership begins with agreement, not family or ownership.

The deed is the written agreement.

Partnership deed. The written agreement setting out each partner's rights and duties.

An illustrative case, not a real firm.

Unless agreed otherwise, partners share equally.

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Debts fall on all partners, without limit.

The law gives the name **partnership** to such an arrangement. The people are the **partners**, and together they are the **firm**.¹ In Bangladesh, the Partnership Act of 1932 governs the matter.²

The Act says that a partnership arises from agreement, and not from status. Brothers who inherit a shop are not partners for that reason alone; they become partners if they agree to run it together for profit. More than twenty persons (ten for banking) cannot form a partnership. Beyond that number, the law requires them to form a company.

THE PARTNERSHIP DEED

The agreement may be spoken, but a written one is wiser. Such a document is a **partnership deed**. It records each partner's contribution, the share of profit, the duties, and what happens when a partner leaves. Without it, every disagreement is settled from memory, and memory is a poor witness.



Case file, illustrative. Anwar contributes the oven and Tk 300,000. Salma contributes Tk 100,000, her recipes and her customers. They agree to divide profit equally, because each believes the other's part is worth the same. Whether that is fair is a question the worked case below tests.

SHARING PROFIT, LOSS AND DEBT

Unless the deed says otherwise, the law treats partners as sharing profit and loss equally, whatever each has put in.

There is a second duty, and beginners often overlook it. Each partner is responsible, without limit, for the debts of the firm, and each can be made to pay all of them. If the firm cannot pay, its creditors may look to the personal property of any partner, and not only to what that partner invested. This is unlimited liability again, and it is the heaviest risk of partnership.

The law also adds *implied duties*, which apply even if no one writes them down. Partners must deal with each other in utmost good faith. They must give true accounts, work for the common benefit, and not make a secret profit from the firm's business. They

¹ The firm is not a legal person apart from its partners. Chapter V shows how a company differs.

² The Partnership Act, 1932 (Act IX of 1932), sections 4 and 5.

Partners owe each other honesty and fair play.

Partners differ in work, visibility and risk.

A partnership may be for a task, a period, or open-ended.

Advantages: more money, skills and shared load.

Dissolution means the firm ends.

Dissolution. The ending of a partnership, so that the firm no longer exists.

must use the firm's property for the firm only. Each partner is also an *agent* of the firm: a promise made by one in the course of business binds all.

KINDS OF PARTNER AND OF PARTNERSHIP

Not every partner plays the same role. An *active partner* manages the business. A *sleeping partner* invests money but takes no part in running it. A *nominal partner* only lends a name. A *partner by holding out* is a person who lets others believe that he or she is a partner; the law then makes that person liable like one. The Act of 1932 does not provide for partners whose liability is limited.

Partnerships also differ in how long they last. A *partnership at will* has no fixed end and may be ended by notice. A *particular partnership* is made for one task, such as building a single block. A *partnership for a fixed term* ends when the term does.

GAINS, RISKS AND COMPARISON

A partnership brings more capital than one person can raise. It combines different skills, as Salma's recipes and Anwar's money. It spreads the work and the risk among several people, and its formation needs few formalities. The disadvantages are the unlimited liability, the risk of quarrels, the fact that one partner's mistake binds all, and the difficulty of raising very large sums.

TABLE 3. PARTNERSHIP AND SOLE PROPRIETORSHIP COMPARED

Point	Sole proprietorship	Partnership
Owners	One	Two or more
Capital	One person's means	Pooled by partners
Decisions	By the owner alone	Shared, may cause delay
Liability	Unlimited, one person	Unlimited, each partner for all
Legal basis	No special Act	Partnership Act, 1932
Continuity	Ends with the owner	May end on a partner's death

HOW A PARTNERSHIP ENDS

Dissolution means the ending of a partnership. It may happen in several ways. By *agreement*, when all partners consent. By *notice*, when a partnership at will is ended by one partner telling the others. *Compulsorily*, when all but one partner become insolvent, or when the business becomes unlawful. By *contingency*, such as the end of a fixed term, the completion of a task, or the death of a partner, unless the deed provides otherwise. By *order of a court*, if a partner has become of unsound mind, is permanently unable to act, is guilty of misconduct, or if the business can only run at a loss.

A WORKED CASE

SITUATION. In its first year Padma Bakery makes a profit of Tk 240,000. Anwar contributed Tk 300,000 and Salma Tk 100,000. The deed says only that profit is shared equally.

QUESTION. What does each partner receive? What would each receive if profit followed capital?

REASONING. Equal sharing gives Tk 240,000 divided by 2, which is Tk 120,000 each. By capital, the ratio is 300,000 to 100,000, which is 3 to 1, making 4 parts. One part is Tk 60,000. Anwar receives 3 parts, Tk 180,000; Salma receives 1 part, Tk 60,000.

CONCLUSION. Under the deed, each partner receives Tk 120,000. Sharing by capital would give Anwar Tk 180,000 and Salma Tk 60,000.

CHECK. Tk 120,000 plus Tk 120,000, and Tk 180,000 plus Tk 60,000, each equal Tk 240,000. Equal sharing favours Salma, who gave her skills, and capital sharing favours Anwar, who gave money. The deed should say which is intended.



SUMMARY

A sole proprietorship has one owner who has full control and full risk. A partnership arises from an agreement among two or more persons to share profit; its deed records the terms. Partners have unlimited liability and implied duties. A partnership ends by agreement, notice, compulsion, contingency or court order.

THINK IT THROUGH. Two partners share profits equally, but one works full-time and the other only invests. Is that fair? What would you add to the deed?

WHERE PEOPLE GO WRONG. Students often think a sleeping partner is free of the firm's debts. The sleeping partner is liable too. Another mistake is to think that partners are always equal in profit; the law gives equality only when the deed is silent.

IN HISTORY. The rules on partnership in British India were once part of the Indian Contract Act of 1872. In 1932 they were taken out and made into a separate Act, because partnership had grown into a subject of its own. That Act still governs partnership in Bangladesh.

SOURCES

The Partnership Act, 1932.

REVIEW QUESTIONS

1. What does the law mean by a partnership, and what is its base?
2. Name three kinds of partner.
3. State two differences between a partnership and a sole proprietorship.

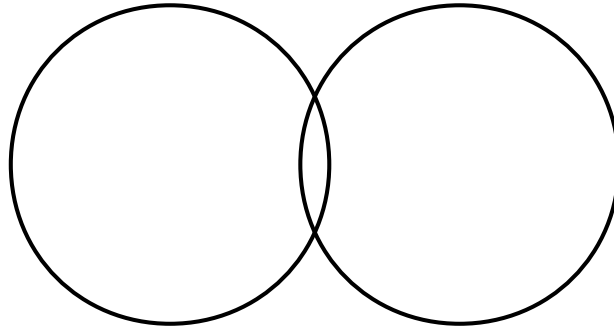


Plate V. [An engraving will be placed here.]

CHAPTER V

The Company

Can a business live on after its owners are gone?



This chapter explains the joint stock company: why it exists, how it is formed, and how private and public companies differ. It weighs its strengths against its weaknesses.

THE PUZZLE OF THE LARGE SUM

The bakery now earns a steady profit. Anwar and Salma wish to build a factory that will cost Tk 5,000,000. They do not have it, and no bank will lend it to partners whose personal wealth is small. Meanwhile, many people in Dhaka have small savings and would gladly join a profitable business if their risk were limited. How can many small sums be gathered into one large one, safely?

THE IDEA OF A JOINT STOCK COMPANY

A company is owned by many through shares.

Joint stock company. A business whose capital is divided into shares and owned by shareholders.

Share. One equal unit of a company's capital, showing part ownership.

Shareholder. A person who owns one or more shares in a company.

A **joint stock company**, usually called a company, means a business whose capital is divided into small equal parts called shares. A **share** means one such part. A person who owns shares is a **shareholder**. The shareholders together own the company.

GO SLOWLY HERE.

The company is a person in law.

Legal personality. The status of being treated by law as a person separate from the owners.

A company has a special feature that a partnership lacks. The law treats it as a *separate legal person*. It can own property, make contracts, sue and be sued in its own name, and it continues to exist when shareholders die or sell their shares. This is called **legal personality**. In Bangladesh the Companies Act, 1994 governs companies.

Limited liability caps the loss at the unpaid share.

Limited liability. A shareholder's duty to pay company debts only up to the unpaid value of his or her shares.

The second feature is **limited liability**. It means that a shareholder who has paid for all of his or her shares cannot be made to pay the company's debts from personal property. The most such a person can lose is the money put into the shares. This is the opposite of the partner's position in Chapter IV, and it explains why people dare to invest.

Shares can be sold; the company stays.

Directors. People elected by shareholders to manage the company.

The third feature is the ease of transfer. A shareholder who wants money can sell shares to another person, and the company carries on unchanged. A fourth feature is management by representatives: the shareholders elect **directors**, who run the company for them.

PRIVATE AND PUBLIC COMPANIES

The Companies Act recognises two chief types. A **private company** has at least two and no more than fifty members, restricts the transfer of its shares, and may not invite the public to buy them. A **public**

Two types, divided by size and by the public.

Private company. A company that limits the number of members and cannot invite the public to buy its shares.

Public company. A company that may invite the public to buy its shares and has no upper limit on members.

A private company suits a family firm.

Formation goes through four stages.

Two documents are filed at registration.

Memorandum of association. The document stating a company's name, office, objects, liability and capital.

Articles of association. The document of internal rules for managing the company.

A prospectus invites the public to invest.

Prospectus. A document inviting the public to buy a company's shares, with full details.

company needs at least seven members, may invite the public to subscribe, and allows free transfer of its shares.

TABLE 4. PRIVATE AND PUBLIC LIMITED COMPANIES COMPARED

Point	Private company	Public company
Members	2 to 50	At least 7, no limit
Shares	Transfer restricted	Freely transferable
Public invitation	Not allowed	Allowed, by prospectus
Start of business	After incorporation	Needs certificate of commencement
Size of capital	Usually smaller	Usually larger

A private company suits a family or a small group that wants limited liability yet wishes to stay in control. A public company suits a business that needs large sums from many people.

HOW A COMPANY IS FORMED

Forming a company follows stages. First comes *promotion*: someone has the idea, studies it and gathers the founders. Second comes *incorporation*, which means registration with the Registrar of Joint Stock Companies and Firms. Third, for a public company, comes the raising of capital. Fourth comes the start of business.

At registration two documents are essential. The **memorandum of association** states the company's name, its registered office, the objects for which it exists, the limit on its members' liability, and its capital. It fixes what the company may do. The **articles of association** set the internal rules: how directors are chosen, how meetings are held, and how profits are paid. In short, the memorandum is the charter and the articles are the rulebook. When the Registrar is satisfied, a *certificate of incorporation* is issued, and the company is born as a legal person.

A public company that wants money from the public issues a **prospectus**. It describes the company's name and objects, its directors, the capital, the number and price of shares offered, the money it must raise at minimum, how the money will be used, and the risks. Its purpose is honest information, so that investors know what they buy. A public company must also obtain a *certificate of commencement of business* before it begins to trade.

STRENGTHS AND WEAKNESSES

A company can raise large sums from many people. Limited liability lowers each investor's risk. It has a continuing life and can hire

*Large capital, limited risk,
long life.*

*Weaknesses: costs, rules and
distance of owners.*

Is the company the best form?

Dividend. The share of
profit paid to shareholders.

skilled managers. Shares are easy to transfer. A large company can use large machines and gain from large-scale production.

There are weaknesses. Formation is costly and slow, and the law imposes many rules, reports and audits. The owners are far from the work, so directors may serve themselves. A few big shareholders may control a company against the small ones. Secrets are harder to keep, since accounts must be published.

Is the company the best form of business? The answer depends on the task. For a large factory needing much capital, it is hard to match. For a small tailor, it would be too heavy. The best form is the one that fits the size, the risk and the aim.

A WORKED CASE

SITUATION. Padma Bakery becomes Padma Bakery Private Limited. Capital is Tk 1,000,000 in 100,000 shares of Tk 10 each. Anwar holds 60,000 shares and Salma 40,000. In the first year the company decides to pay Tk 120,000 of its profit to shareholders as **dividend**.

QUESTION. What dividend does each share earn, and how much does each person receive?

REASONING. Dividend per share is Tk 120,000 divided by 100,000 shares, which is Tk 1.20. Anwar receives 60,000 times Tk 1.20, which is Tk 72,000. Salma receives 40,000 times Tk 1.20, which is Tk 48,000.

CONCLUSION. Each share earns Tk 1.20. Anwar receives Tk 72,000 and Salma Tk 48,000.

CHECK. Tk 72,000 plus Tk 48,000 equals Tk 120,000, the whole dividend. Note too that if the company later fails owing more than it owns, Anwar and Salma lose at most the value of their shares.



SUMMARY

A company is owned by shareholders through shares, is a separate legal person, and gives limited liability. A private company has 2 to 50 members and cannot invite the public; a public company has at least 7 members and may do so. Formation needs a memorandum, articles, and incorporation.

THINK IT THROUGH. A shop owner wants limited liability but wishes to keep the shop within the family. Which type of company would you advise, and why?

WHERE PEOPLE GO WRONG. Limited liability does not mean that the company cannot be sued. The company can, and the shareholder is protected from its debts. Another mistake is to mix up the memorandum, which fixes the company's objects, with the articles, which govern its daily rules.

IN HISTORY. In the case of *Salomon v A Salomon & Co Ltd* (House of Lords, 1896), a shoemaker turned his business into a company and held nearly all its shares. When the company failed, creditors asked to claim from him personally. The court held that the

company was a separate person, and Mr Salomon was not liable for its debts. The decision still guides the law of companies.

SOURCES

The Companies Act, 1994; *Salomon v A Salomon & Co Ltd* (1896).

REVIEW QUESTIONS

1. Name the main features of a joint stock company.
2. How do private and public companies differ?
3. What do the memorandum and articles of association contain?

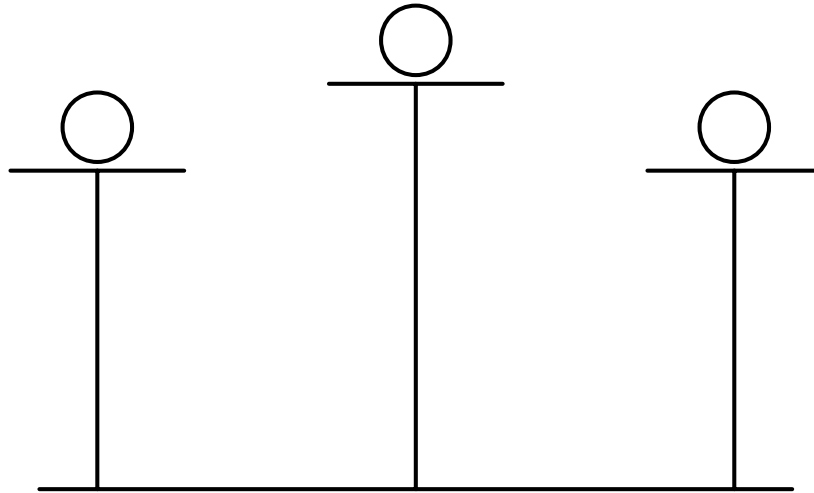


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Many Hands: Cooperatives and the State

Who should own a business when profit is not the first aim?



This chapter explains two forms of ownership whose first aim is service: the cooperative society, owned by its members, and the state enterprise, owned by the public.

THE PUZZLE OF THE FLOUR BAG

Salma buys flour by the sack, and she pays the full shop price. So do nine other bakers in Mirpur. A merchant who sold to all ten at once could offer a lower price, but each baker alone is too small to ask for one. What if the ten bakers bought together, and shared the savings? This question leads to a form of business owned by those who use it.

THE COOPERATIVE SOCIETY

A cooperative is owned by its members for their own use.

Cooperative society. A business owned and run by its members to serve their common needs, not to earn profit for outsiders.

Seven principles guide cooperatives worldwide.

GO SLOWLY HERE.

One member, one vote: the key difference from a company.

How a society works, step by step.

Cooperatives come in many types.

Cooperatives help farmers sell their produce.

A **cooperative society** means a business formed by people who join voluntarily to meet a common need, and who own and control it together. Its first aim is service to its members. In Bangladesh, the Cooperative Societies Act of 2001 governs such societies, which must be registered with the Registrar of Cooperative Societies.

Cooperatives follow shared principles, set out by the International Cooperative Alliance (1995). Membership is *voluntary and open* to all who can use the service. Control is *democratic*: each member has one vote, whatever the shares held. Members contribute *capital* fairly and share the surplus. The society is *independent* of outside control. It provides *education* for members. Cooperatives *work together*. And they show *concern for the community*.

This differs sharply from a company. In a company, power follows shares: a person with more shares has more votes. In a cooperative, power follows people: one member has one vote. This rule keeps a rich member from ruling the poor.

A society works in this way. Members, who usually number at least a set minimum, apply for registration with a draft of rules called *by-laws*. Each member buys shares, and the liability of each is usually limited to the amount of the shares. A general meeting of all members elects a managing committee. The committee runs the society and answers to the members. At the year's end, the *surplus* is divided: a part goes to a reserve fund, a limited part is paid as a dividend on shares, and the rest is returned to members in proportion to their use of the society.

In Bangladesh, there are many types: *agricultural* societies that supply seeds and tools, *credit* societies that lend small sums, *consumers'* societies that sell goods at fair prices, *marketing* societies, *weavers'* and *fishermen's* societies, *housing* societies, and *dairy* societies.

The cooperative has a particular value in marketing farm produce. A single farmer who sells alone to a trader is often paid a low price. A society can collect the produce of many farmers, grade it, store it, and sell in bulk at a better price. It cuts out some middlemen, gives price information, and may lend money until the sale is made.

Cooperatives also have weaknesses. Members may lack business skill. Funds may be small. Poor management or political pressure

Limits: poor management and weak funds.

can damage trust. A cooperative is only as good as the care of its members.

THE STATE ENTERPRISE

State enterprise is owned and run by the government.

State enterprise. A business owned and controlled by the government.

A **state enterprise** means a business owned and controlled by the government on behalf of the public. It may be fully owned or partly owned by the state. Governments run enterprises for several reasons.

Four reasons for public ownership.

First, some goods are too important or too costly to leave to private owners, such as railways and defence supplies. Second, some activities have a *natural monopoly*, where one supplier serves best, as with a gas pipeline. Third, a government may wish to hold prices down for the poor. Fourth, new industries may need public money before private investors will enter. The fields best suited to state ownership therefore include defence, railways, power, water, and basic industries.

TABLE 5. FORMS OF STATE ENTERPRISE

Form	Meaning	Example
Departmental undertaking	Run as a government department	Bangladesh Railway
Public corporation	Set up by a special law, with its own board	Bangladesh Petroleum Corporation
Government company	A company under the Companies Act, with the government holding most shares	Titans Gas Transmission and Distribution Company Ltd

Each form gives different freedom.

A departmental undertaking is closest to government and has least freedom. A public corporation has a board and more freedom of action. A government company works like a private company, and the government is its main shareholder.

A fair debate: for and against.

Is it wise to support state enterprise? The arguments differ. Supporters say that it serves the public, protects strategic industries, and can hold prices down. Critics say that many state enterprises in Bangladesh and elsewhere have run at a loss. The causes commonly named are weak management, too many employees, political interference, prices fixed below cost, old machines, and little reward for efficiency. A reader should weigh both sides, and decide for which tasks, and under what controls, state ownership serves the public best.

A WORKED CASE

SITUATION. Ten Mirpur bakers form a flour-buying society. A 50-kilogram bag costs Tk 3,000 in a shop and Tk 2,850 in bulk. Padma Bakery buys 20 bags a month.

QUESTION. What does Padma save each month by buying through the society?

REASONING. The saving per bag is Tk 3,000 less Tk 2,850, which is Tk 150. For 20 bags the saving is 20 times Tk 150.

CONCLUSION. Padma saves Tk 3,000 a month, or Tk 36,000 in a year.

CHECK. Shop cost is 20 times Tk 3,000, which is Tk 60,000. Bulk cost is 20 times Tk 2,850, which is Tk 57,000. The difference is Tk 3,000, the same answer.



SUMMARY

A cooperative society is owned by its members, who each have one vote; its first aim is service. A state enterprise is owned by the government and takes three forms: departmental, public corporation and government company. Each has strengths and limits.

THINK IT THROUGH. A village has one doctor and no clinic. Should the clinic be a cooperative, a state enterprise or a private company? What would each choice cost and give?

WHERE PEOPLE GO WRONG. Students often say that a cooperative earns no profit. It earns a surplus, but returns it to members. Another mistake is to assume that state enterprises always lose money; some earn profit, and results differ widely.

IN HISTORY. In 1844 a group of 28 workers in Rochdale, England, many of them weavers, opened a small shop to sell pure goods at fair prices. They gave each member one vote and shared the surplus by purchases. Their rules became the model for cooperatives around the world. In Bangladesh, the Academy for Rural Development at Comilla, set up in 1959, later developed a two-tier cooperative scheme for villages.

SOURCES

The Cooperative Societies Act, 2001; International Cooperative Alliance (1995).

REVIEW QUESTIONS

1. State the principles on which a cooperative society is built.
2. Name the three forms of state enterprise.
3. Give two reasons for state enterprise.

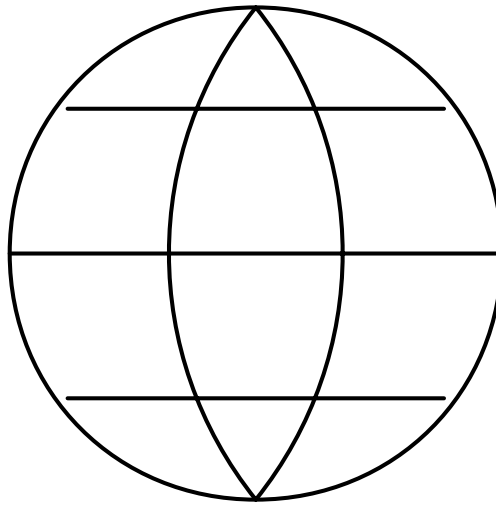


Plate VII. [An engraving will be placed here.]

CHAPTER VII

Across the Border

Why does a country that grows rice buy wheat from abroad?



This chapter explains why nations trade, how trade is measured, how goods are exported and imported, and what barriers stand in the way. It ends with the firm that works in many countries.

THE PUZZLE OF THE FOREIGN OVEN

Padma Bakery needs a larger oven. The best ones are built in another country. To buy one, Anwar must pay in foreign money, deal with a seller he has never met, and bring the machine through a customs office. At the same time, a bakery in another land might want to buy Bangladeshi jute bags. Why do people cross borders to trade, and how is it done safely?

WHY NATIONS TRADE

No country has everything.

Foreign trade. Buying and selling of goods and services between people in different countries.

Exports. Goods or services sold to another country.

Imports. Goods or services bought from another country.

Foreign trade means buying and selling across national borders. Goods sold to another country are **exports**. Goods bought from another country are **imports**. Nations trade first because they differ: in climate, soil, minerals, skills and machines.

GO SLOWLY HERE.

Each country should make what costs least to give up.

Comparative advantage.

The ability to make something at a lower opportunity cost than others.

A deeper reason was given by David Ricardo (1817). A country gains by making what it makes at the lowest *opportunity cost*, and buying the rest, even if it could make everything. Suppose that in a day a baker can make 40 loaves or mend 4 ovens, while a mechanic can make 10 loaves or mend 5 ovens. The mechanic is better at mending, and the baker is better at loaves compared with mending. Each should specialise, then trade. This is **comparative advantage**.

Trade brings foreign money, jobs and choice.

Foreign trade matters for several reasons. Exports earn foreign money, which pays for needed imports. Export industries create jobs. Imports bring goods that the country cannot make, and bring new machines and ideas. Competition from abroad pushes local firms to improve, and larger markets allow large-scale production.

MEASURING TRADE BETWEEN NATIONS

Nations measure their trade in two ways. The **balance of trade** means the difference between the value of goods exported and goods imported. If exports are larger, the balance is a surplus; if imports are larger, a deficit. The **balance of payments** is wider. It records *all* payments between a country and the rest of the world in a period: goods, services such as shipping and tourism, transfers such

Two measures: of goods only, and of everything.

Balance of trade. The difference between the value of a country's goods exported and goods imported.

Balance of payments. A record of all money flowing into and out of a country in a period.

Export follows a chain of steps.

Letter of credit. A bank's promise to pay the seller if the agreed documents are shown.

Import follows the reverse chain.

The documents carry the proof.

Bill of lading. A receipt for goods shipped, which also acts as proof of ownership.

Bill of lading and charter party differ.

Charter party. A contract hiring a whole ship, or part of it, for a voyage.

Barriers: narrow range, slow ports, costly funds.

as money sent home by workers abroad, and capital flows such as loans and investment.

The balance of trade can show a deficit while the wider balance of payments is in surplus, because money sent home by citizens working abroad can fill the gap.

EXPORTING AND IMPORTING

The *export procedure* runs in steps. The exporter first registers as an exporter with the government's import and export office. An enquiry arrives from a buyer, and the exporter sends a quotation, often as a *proforma invoice*. The buyer places an order and opens a **letter of credit** through a bank. This promise reassures the seller. The exporter then makes or collects the goods, arranges inspection, packs them, and books a ship or plane through a clearing agent. Customs inspect the goods and permit export. The carrier issues a transport document. The exporter hands the documents to the bank, which collects payment.

The *import procedure* is the reverse. The importer registers, asks the seller for a proforma invoice, and opens a letter of credit. When the goods arrive, the importer files a *bill of entry* with customs, pays duty, and takes delivery with the shipping documents.

The documents used include the *commercial invoice* (the bill), the *packing list*, the *certificate of origin* (where the goods were made), the *inspection certificate*, the *bill of exchange* (an order to pay) and the transport document. For sea freight the transport document is the **bill of lading**.

Do not confuse it with a **charter party**. The bill of lading is a receipt for goods and a title to them, issued by the shipping company to each shipper. The charter party is the contract by which a merchant hires the whole ship or a space on it. One ship may carry goods under many bills of lading, but be hired under one charter party.

BARRIERS AND SUPPORT

Bangladeshi exporters meet barriers. Exports depend heavily on a narrow range of goods, chiefly ready-made garments. Port and road delays and a shortage of power raise costs. Loans may be costly, and customs work may be slow. Foreign buyers set strict standards of quality and safety. Other countries may raise import taxes, and competitors abroad are strong.

Governments both support and regulate trade. A **tariff** raises the price of imports. A **quota** caps the amount. A government may give exporters cash support, cheap loans or tax relief, and runs bodies to help them: the Export Promotion Bureau, and the export processing zones (Chapter VIII). At the world level, the World Trade Organiza-

Governments tax, limit and support trade.

Tariff. A tax on imported goods.

Quota. A limit on the quantity of a good that may be imported.
A multinational works in several countries.

Multinational corporation. A large firm that owns and runs business operations in more than one country.

Home country. The country where a multinational has its headquarters.

Host countries. The countries in which a multinational runs operations away from its home.

Staff come from three places.

PCN. A parent country national: an employee from the firm's home country.

HCN. A host country national: an employee from the country where the branch operates.

TCN. A third country national: an employee from a country that is neither home nor host.

What hosts gain.

What hosts may lose.

tion, formed in 1995, sets the rules by which its member countries trade and settles disputes between them.

THE FIRM IN MANY COUNTRIES

A **multinational corporation** (MNC) is a firm that owns and runs operations in more than one country. Its first base is its **home country**. The countries where it opens branches are **host countries**. Bangladesh is a host to many.

The firm's staff are grouped in three. A **PCN** comes from the home country, a **HCN** from the host country, and a **TCN** from some other country.

Host countries gain from MNCs. They bring capital, modern machines and skills. They create jobs, pay taxes, and open foreign markets for local products. Local firms learn new methods.

Host countries may also suffer. Profits may be sent abroad. Large MNCs may crowd out small local firms. Some MNCs pay low wages, harm the environment or influence politics. Technology may be kept within the parent firm. Whether the gain outweighs the loss depends on the host's laws and its ability to bargain.

A WORKED CASE

SITUATION. An illustrative country, in billions of dollars. Goods exports are 40 and goods imports are 52. Services earn 6 and cost 9. Workers abroad send home 22. Take the current account to be the sum of these items.

QUESTION. What are the balance of trade and the current account?

REASONING. Balance of trade is 40 less 52, which is a deficit of 12. Services net is 6 less 9, which is minus 3. Add the transfers of plus 22. The current account is minus 12, minus 3, plus 22.

CONCLUSION. The trade balance is a deficit of 12 billion. The current account is a surplus of 7 billion.

CHECK. Receipts are 40 plus 6 plus 22, which is 68. Payments are 52 plus 9, which is 61. The difference, 68 less 61, is 7, the same answer.



SUMMARY

Nations trade because they differ and because specialising lowers cost. The balance of trade counts goods only; the balance of payments counts all payments. Export and import follow set steps and documents. MNCs bring gains and risks to host countries.

THINK IT THROUGH. A country sells only one product abroad. What risks does it run? How might it reduce them?

WHERE PEOPLE GO WRONG. Students often use balance of trade and balance of payments as if they meant the same. They do not. A trade deficit is also not always bad; imports of machines can build future output.

IN HISTORY. The English East India Company received a royal charter on 31 December 1600 to trade with Asia. After the battle of Plassey in 1757 and the grant of the *diwani* in 1765, it began to collect revenue in Bengal. It was an early multinational, and it shows how trade, power and local welfare may become tangled.

SOURCES

Ricardo (1817), chapter on foreign trade.

REVIEW QUESTIONS

1. What is the difference between the balance of trade and the balance of payments?
2. Name four documents used in export.
3. Explain PCN, HCN and TCN.

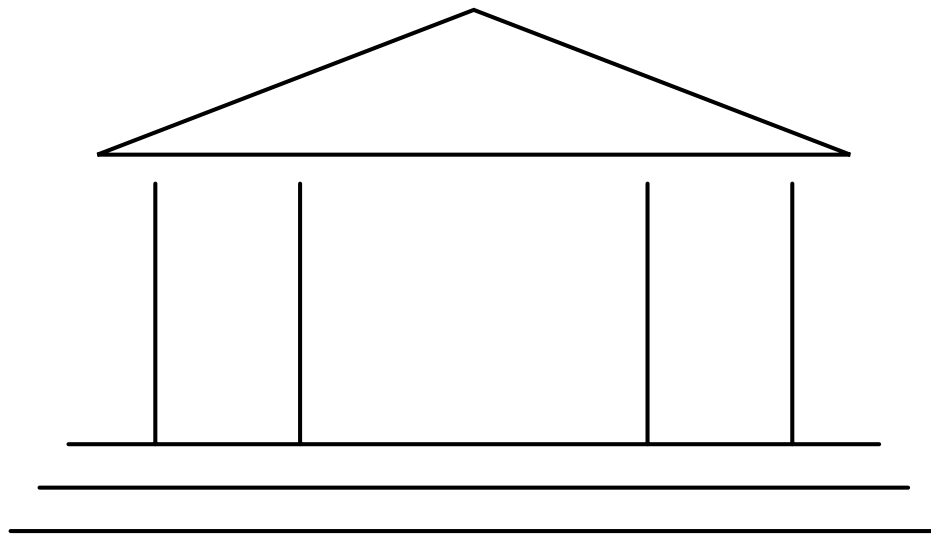


Plate VIII. [An engraving will be placed here.]

CHAPTER VIII

Shares, Markets and Helping Institutions

How does a small baker find strangers willing to share her risk?



This chapter explains the share market, the Dhaka Stock Exchange and the IPO, and then names the bodies that regulate, promote and support business in Bangladesh.

THE PUZZLE OF THE STRANGER'S MONEY

Padma Bakery now wishes to raise Tk 5,000,000 from the public. A stranger in Chattogram has savings and might buy shares, but how would she know the company is honest? And if she needed her money back next year, who would buy her shares? Two problems must be solved: trust, and the chance to sell. The institutions in this chapter exist to solve them.

THE SHARE MARKET

The share market is where shares are bought and sold.

Share market. The market where shares of companies are issued, bought and sold.

WORD IN USE.

Stock. Daily life: goods held for sale. Finance: shares of a company.

An IPO is a company's first public offer of shares.

Initial public offering. The first sale of a company's shares to the public, called IPO for short.

Two types of share, with different aims.

Ordinary share. A share whose holder votes and receives a dividend that depends on profit.

Preference share. A share that receives its fixed dividend before ordinary shares.

The **share market** is the market in which shares of companies are issued, bought and sold. It has two parts. In the *primary market*, a company sells new shares to investors for the first time and receives the money. In the *secondary market*, investors sell shares to each other, and the company receives nothing. A person who buys shares hopes for dividends and for a rise in the share's price.

The word *stock* has two meanings, and finance uses the second. In a shop, stock means the goods held for sale. In the share market, it means the shares of companies, so *stock market* and *share market* mean the same place.

When a company first offers its shares to the public, the offer is an **initial public offering**, known as an IPO. The company publishes a prospectus (Chapter V), and the regulator must approve the offer. Investors apply for shares, and if applications exceed the shares offered, the shares are shared out by a set rule. After the IPO, the shares are listed on an exchange so that they can be traded.

Shares are of two main types. An **ordinary share** gives a vote and a dividend that rises and falls with profit. A **preference share** receives a fixed dividend before ordinary shareholders, but usually has no vote. Which is best for an investor? It depends on the aim. An investor who wants steady income and lower risk may prefer preference shares. An investor who accepts more risk for possible growth may prefer ordinary shares.

THE DHAKA STOCK EXCHANGE

An exchange is the organised place for trading.

Stock exchange. An organised market where listed shares are bought and sold under set rules.

A **stock exchange** is an organised market in which listed shares are traded under set rules. Dhaka Stock Exchange (DSE) began in 1954. Its functions are these. It provides a fair, orderly place for trading. It lists companies that meet its rules. It publishes prices so that all can see them. It gives investors the chance to sell, so that savers are willing to invest. It supervises its member brokers and settles trades. It thus supports companies in raising capital.

HELPING INSTITUTIONS

A regulator protects investors.

Bangladesh Securities and Exchange Commission.

The state regulator of the share market, set up in 1993.

Trade bodies speak for business.

FBCCI. The Federation of Bangladesh Chambers of Commerce and Industry, the main body of business chambers.

Exports are helped by three bodies.

Export processing zone.

An area where firms making goods for export enjoy special tax and service benefits.

Other bodies support the whole system.

The **Bangladesh Securities and Exchange Commission (BSEC)** was set up under the Securities and Exchange Commission Act of 1993. It regulates the share market. It approves public offers, licenses brokers and exchanges, watches for unfair practice, and protects investors.

The **FBCCI** is the national federation of chambers of commerce and industry. It speaks for business to the government, offers advice and organises trade fairs.

The Export Promotion Bureau (EPB) is a government body that helps exporters with information, fairs and approvals. An **export processing zone (EPZ)** is an area where firms producing for export enjoy special benefits such as duty-free import of machines and materials, tax relief, and one office for services. The Bangladesh Export Processing Zones Authority, created by a law of 1980, runs them; the first zone, at Chattogram, began work in 1983. The Trading Corporation of Bangladesh (TCB, sometimes TCCB) is a state body that buys and sells essential goods, such as edible oil and pulses, to hold prices fair.

Other bodies help too. The central bank, Bangladesh Bank, regulates money and banks. The Bangladesh Investment Development Authority helps investors, both local and foreign, to start and register business.

A WORKED CASE

SITUATION. Padma Bakery Public Limited offers 500,000 shares at Tk 10 each. Investors apply for 1,000,000 shares in all.

QUESTION. How much money is raised? How many times is the offer subscribed? What share of what each applicant asked for can be given, if shares are divided in proportion?

REASONING. Money raised is 500,000 times Tk 10, which is Tk 5,000,000. Subscription is 1,000,000 divided by 500,000, which is 2 times. The share given is 500,000 divided by 1,000,000, which is one half.

CONCLUSION. The company raises Tk 5,000,000. The offer is subscribed twice, and each applicant would receive about half of the shares asked for. In practice, the regulator's rules fix how the shares are divided.

CHECK. Half of 1,000,000 is 500,000, which equals the shares offered.



SUMMARY

The share market has a primary part, where companies raise money, and a secondary part, where investors trade. An IPO is the first public offer. The BSEC regulates the market; the DSE runs trading; the FBCCI, EPB, EPZ authority and TCB each help a different part of business.

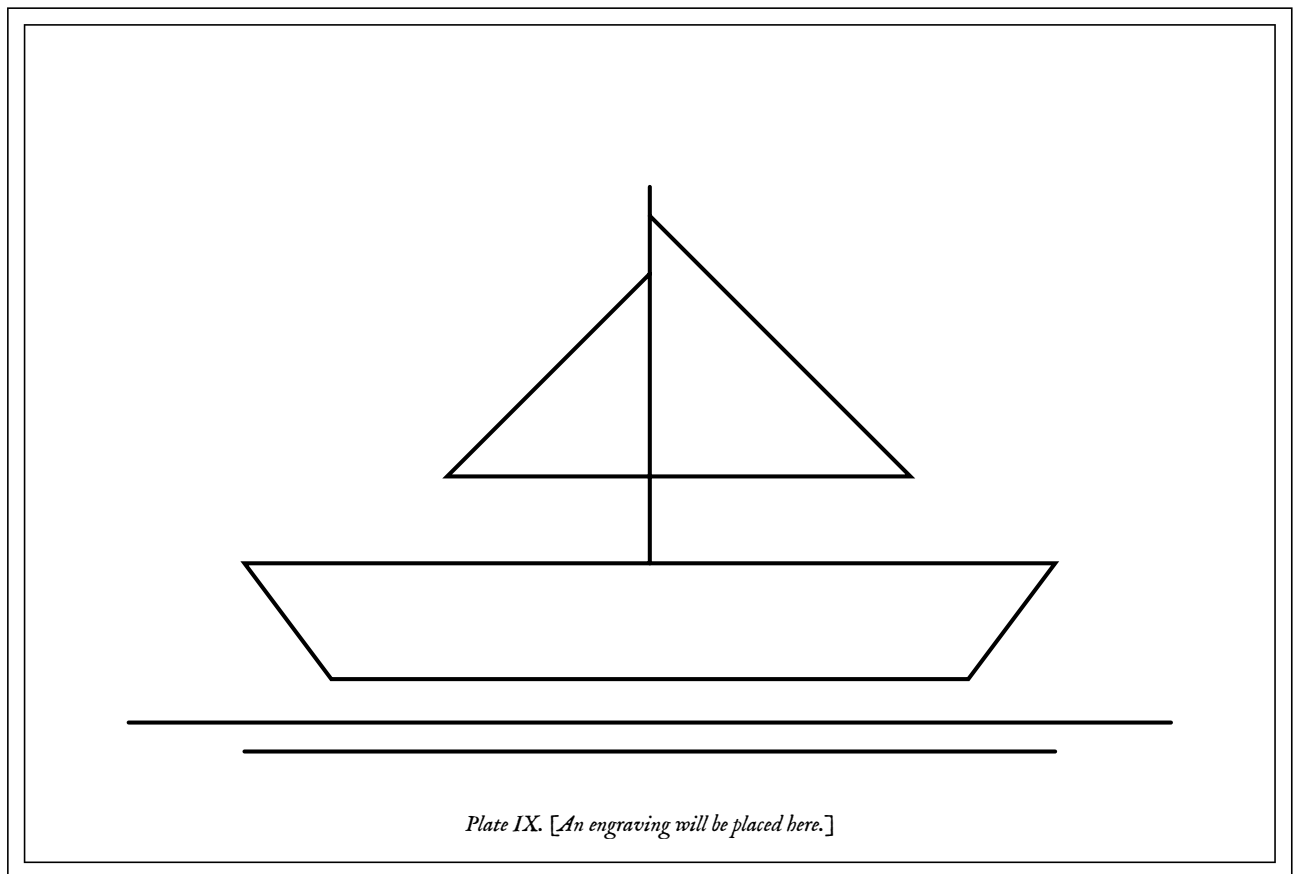
THINK IT THROUGH. A retired teacher wants steady income and fears losing her savings. Which kind of share might suit her better? What might she lose by choosing it?

WHERE PEOPLE GO WRONG. Students often think the company receives money whenever its shares are traded. It receives money only when it issues new shares. Another mistake is to assume that a high share price means a good company.

IN HISTORY. In 1602 the Dutch East India Company sold shares to the public, and soon people traded them on the Amsterdam exchange. It is often called the first company to have shares traded in this way, and it created the pattern on which exchanges later grew.

REVIEW QUESTIONS

1. What is an IPO, and who approves it in Bangladesh?
2. State three functions of the Dhaka Stock Exchange.
3. Distinguish ordinary from preference shares.



CHAPTER IX

Joining Together

Why would two rivals choose to become one?



This chapter explains why businesses combine, what forms combination takes, and what it offers and threatens.

THE PUZZLE OF THE RIVAL SHOP

Across the road from Padma Bakery stands Mirpur Sweets. Each shop pays rent, buys flour, and competes for the same customers. If they joined, rent could be shared, flour bought in bulk, and price wars ended. Customers, though, might pay more. Why do firms combine, and should the public welcome it?

WHY AND HOW FIRMS COMBINE

A combination links independent businesses.

Business combination. The joining of separate businesses into a single group or firm.

Three directions of joining.

Four common forms.

Cartel. An agreement among firms to fix prices or share markets while staying separate.

Trust. A combination in which firms hand control to a board that runs them as one.

Holding company. A company that owns enough shares in other companies to control them.

Merger. The joining of one firm into another, so that only one remains.

A **business combination** means the joining of separate businesses so that they act together or as one. Firms combine for several reasons. They want to cut costs by sharing and by buying in bulk. They want to reduce competition. They wish to be sure of raw materials or of outlets for their goods. They want larger markets, stronger funds, and a way to spread risk.

Combinations are grouped by direction. A *horizontal* combination joins firms at the same stage, such as two bakeries. A *vertical* combination joins firms at different stages of one chain, such as a flour mill and a bakery. A *conglomerate* joins firms in unrelated lines of business.

Combinations take several forms. A **cartel**, also called a pool, is an agreement among independent firms to fix prices or divide markets. A **trust** is a combination in which owners hand control to a single board. A **holding company** owns enough shares in other companies, called its subsidiaries, to control them. A **merger** joins one firm into another, so that only one remains; in an *amalgamation* two or more firms join to form a new one.

TABLE 6. FORMS OF COMBINATION COMPARED

Form	Firms remain separate?	Control
Cartel	Yes	Agreement only
Trust	Not in practice	One board
Holding company	Yes in law	Share ownership
Merger	No	One firm remains

OPPORTUNITY AND THREAT

Gains: lower cost, stronger firms, wider reach.

GO SLOWLY HERE.

Threats: high prices, lost jobs, less choice.

Combination offers real gains. Large firms enjoy lower cost per unit, can pay for research, deal better with suppliers, and can sell in new places. A weak firm may be saved by joining a strong one.

Combination also carries threats. If competition ends, a combined firm may raise prices and give poorer service. Jobs may be cut when duplicate work ends. Small suppliers may lose bargaining power. Very large firms may influence government. For these reasons, many countries have competition laws. Bangladesh passed the Competition Act of 2012 to watch for unfair agreements and abuse of strong positions.

A WORKED CASE

SITUATION. Padma Bakery's monthly costs are Tk 140,000 and Mirpur Sweets' are Tk 120,000. After a merger, shared rent, bulk flour and one office reduce the combined monthly costs to Tk 235,000.

QUESTION. What is the saving, as an amount and as a percentage of the old combined cost?

REASONING. Old combined cost is Tk 140,000 plus Tk 120,000, which is Tk 260,000. Saving is Tk 260,000 less Tk 235,000, which is Tk 25,000. As a percentage, 25,000 divided by 260,000 is about 0.096, or 9.6 per cent.

CONCLUSION. The merger saves Tk 25,000 a month, nearly 10 per cent of old costs.

CHECK. Ten per cent of Tk 260,000 is Tk 26,000, a little more than Tk 25,000, so the answer of 9.6 per cent is sensible.



SUMMARY

Firms combine to cut costs, reduce competition, secure supplies and grow. Combinations may be horizontal, vertical or conglomerate, and take the form of cartels, trusts, holding companies or mergers. They bring gains and threats, so laws watch them.

THINK IT THROUGH. Two of the three bus companies in a town propose to merge. Name one gain and one threat for passengers.

WHERE PEOPLE GO WRONG. Students often think that every combination ends competition. A merger of two small firms may create a better rival to a large one. Another mistake is to call every large firm a trust; a trust is a particular form.

IN HISTORY. In 1882 John D. Rockefeller's oil firms were joined in the Standard Oil Trust in the United States. It came to control most of the country's oil refining. In 1911 the US Supreme Court ordered the company to be broken into separate companies. The case shaped modern competition law.

REVIEW QUESTIONS

1. Why do business firms combine?
2. Name the four common forms of combination.

3. State one gain and one threat of combination.

ANSWERS TO REVIEW QUESTIONS

- I.** (1) Exchange, regularity, profit aim, risk, and creation of utility. (2) Trade is buying and selling; commerce adds the aids such as banking and transport. (3) Economic, social, human and national.
- II.** (1) Land: rent; labour: wages; capital: interest; organisation: profit. (2) Other costs, such as delivery, may change the total. (3) For example, customers, raw materials, labour, transport or power.
- III.** (1) Economic, political and legal, social and cultural, technological, natural, and the market. (2) A person or group affected by a business, such as workers and customers. (3) Safe work reduces accidents and costs, and honesty keeps customers.
- IV.** (1) A business of two or more persons who agree to share profit; its base is agreement. (2) Active, sleeping and nominal (or by holding out). (3) Number of owners, and pooled capital against one person's means.
- V.** (1) Shares, separate legal personality, limited liability, transferable shares and elected directors. (2) In members, transfer of shares, and the right to invite the public. (3) The memorandum states name, office, objects, liability and capital; the articles give internal rules.
- VI.** (1) Open voluntary membership, one member one vote, fair capital, independence, education, cooperation, community concern. (2) Departmental undertaking, public corporation and government company. (3) For example, strategic industries and natural monopolies.
- VII.** (1) Trade counts goods only; payments count goods, services, transfers and capital. (2) For example, commercial invoice, packing list, bill of lading and certificate of origin. (3) Employees from the home, host and a third country.
- VIII.** (1) The first public sale of a company's shares; the BSEC approves it. (2) For example, providing a trading place, listing companies and publishing prices. (3) Ordinary shares vote and earn variable dividend; preference shares earn fixed dividend first.
- IX.** (1) To cut costs, reduce competition, secure supplies, grow and spread risk. (2) Cartel (pool), trust, holding company and merger or amalgamation. (3) Lower cost per unit; higher prices if competition ends.

GLOSSARY

Aids to trade. Services that help goods move from maker to buyer, such as banking. Ch. I, p. 7

Articles of association. The document of internal rules for managing the company. Ch. V, p. 27

Balance of payments. A record of all money flowing into and out of a country in a period. Ch. VII, p. 36

Balance of trade. The difference between the value of a country's goods exported and goods imported. Ch. VII, p. 36

Bangladesh Securities and Exchange Commission. The state regulator of the share market, set up in 1993. Ch. VIII, p. 43

Bill of lading. A receipt for goods shipped, which also acts as proof of ownership. Ch. VII, p. 37

Business. An activity that provides goods or services to customers to earn a profit. Ch. I, p. 6

Business combination. The joining of separate businesses into a single group or firm. Ch. IX, p. 46

Business environment. All the forces, inside and outside a business, that affect how it works. Ch. III, p. 16

Capital. Man-made goods, such as machines and tools, that are used to produce other goods. Ch. II, p. 12

Cartel. An agreement among firms to fix prices or share markets while staying separate. Ch. IX, p. 46

Charter party. A contract hiring a whole ship, or part of it, for a voyage. Ch. VII, p. 37

Commerce. Trade together with the services that help trade happen. Ch. I, p. 7

Comparative advantage. The ability to make something at a lower opportunity cost than others. Ch. VII, p. 36

Cooperative society. A business owned and run by its members to serve their common needs, not to earn profit for outsiders. Ch. VI, p. 32

Customer. A person or firm that pays for goods or services. Ch. I, p. 6

Directors. People elected by shareholders to manage the company. Ch. V, p. 26

Dissolution. The ending of a partnership, so that the firm no longer exists. Ch. IV, p. 22

Dividend. The share of profit paid to shareholders. Ch. V, p. 28

Division of labour. Splitting a job into parts, with each worker doing one part. Ch. II, p. 12

E-commerce. Buying and selling through the internet or other electronic networks. Ch. I, p. 7

Entrepreneur. A person who organises production and takes the risk of loss. Ch. II, p. 13

Export processing zone. An area where firms making goods for export enjoy special tax and service benefits. Ch. VIII, p. 43

Exports. Goods or services sold to another country. Ch. VII, p. 36

Factors of production. The resources used to make goods and services: land, labour, capital and organisation. Ch. II, p. 12

FBCCI. The Federation of Bangladesh Chambers of Commerce and Industry, the main body of business chambers. Ch. VIII, p. 43

Firm. The partners taken together. Ch. IV, p. 21

Foreign trade. Buying and selling of goods and services between people in different countries. Ch. VII, p. 36

Goods. Things you can touch and keep, such as a cake or a chair. Ch. I, p. 6

HCN. A host country national: an employee from the country where the branch operates. Ch. VII, p. 38

Holding company. A company that owns enough shares in other companies to control them. Ch. IX, p. 46

Home country. The country where a multinational has its headquarters. Ch. VII, p. 38

Host countries. The countries in which a multinational runs operations away from its home. Ch. VII, p. 38

Imports. Goods or services bought from another country. Ch. VII, p. 36

Industry. All activities that produce or change goods, or extract them from nature. Ch. I, p. 7

Initial public offering. The first sale of a company's shares to the public, called IPO for short. Ch. VIII, p. 42

Interest. The payment made for the use of borrowed money or capital. Ch. II, p. 13

Joint stock company. A business whose capital is divided into shares and owned by shareholders. Ch. V, p. 26

Labour. The physical and mental work of people in production. Ch. II, p. 12

Land. All natural resources, including soil, water, minerals and the space a building stands on. Ch. II, p. 12

Legal personality. The status of being treated by law as a person separate from the owners. Ch. V, p. 26

Letter of credit. A bank's promise to pay the seller if the agreed documents are shown. Ch. VII, p. 37

Limited liability. A shareholder's duty to pay company debts only up to the unpaid value of his or her shares. Ch. V, p. 26

Location. The place where a business sets up its premises. Ch. II, p. 13

Memorandum of association. The document stating a company's name, office, objects, liability and capital. Ch. V, p. 27

Merger. The joining of one firm into another, so that only one remains. Ch. IX, p. 46

Multinational corporation. A large firm that owns and runs business operations in more than one country. Ch. VII, p. 38

Objective. A goal that a business tries to reach. Ch. I, p. 8

Ordinary share. A share whose holder votes and receives a dividend that depends on profit. Ch. VIII, p. 42

Partners. The individual owners of a partnership. Ch. IV, p. 21

Partnership. A business owned by two or more people who agree to run it together and share its profits. Ch. IV, p. 21

Partnership deed. The written agreement setting out each partner's rights and duties. Ch. IV, p. 21

PCN. A parent country national: an employee from the firm's home country. Ch. VII, p. 38

Preference share. A share that receives its fixed dividend before ordinary shares. Ch. VIII, p. 42

Private company. A company that limits the number of members and cannot invite the public to buy its shares. Ch. V, p. 26

Profit. The money left from sales after all costs are paid. Ch. I, p. 6

Prospectus. A document inviting the public to buy a company's shares, with full details. Ch. V, p. 27

Public company. A company that may invite the public to buy its shares and has no upper limit on members. Ch. V, p. 26

Quota. A limit on the quantity of a good that may be imported. Ch. VII, p. 37

Rent. The payment made to the owner of land for its use. Ch. II, p. 12

Retail. Selling goods in small amounts to the final user. Ch. I, p. 7

Risk. The chance of loss, because the future cannot be known. Ch. I, p. 6

Sales. The total money received from customers. Ch. I, p. 6

Services. Useful work done for others, such as teaching or transport. Ch. I, p. 6

Share. One equal unit of a company's capital, showing part ownership. Ch. V, p. 26

Share market. The market where shares of companies are issued, bought and sold. Ch. VIII, p. 42

Shareholder. A person who owns one or more shares in a company. Ch. V, p. 26

Social responsibility. The duty of a business to act in ways that benefit society, beyond what the law demands. Ch. III, p. 16

Sole proprietorship. A business owned, run and financed by one person. Ch. IV, p. 20

Stakeholder. Any person or group affected by what a business does. Ch. III, p. 16

State enterprise. A business owned and controlled by the government. Ch. VI, p. 33

Stock exchange. An organised market where listed shares are bought and sold under set rules. Ch. VIII, p. 42

Supplier. A person or firm that sells materials or goods to a business. Ch. III, p. 17

Tariff. A tax on imported goods. Ch. VII, p. 37

TCN. A third country national: an employee from a country that is neither home nor host. Ch. VII, p. 38

Trade. The buying and selling of goods. Ch. I, p. 7

Trust. A combination in which firms hand control to a board that runs them as one. Ch. IX, p. 46

Unlimited liability. Duty to pay all the business's debts, even from personal property. Ch. IV, p. 20

Utility. The usefulness that makes something worth buying. Ch. I, p. 6

Wages. The payment made to workers for their labour. Ch. II, p. 12

Wholesale. Selling goods in large amounts to other businesses. Ch. I, p. 7

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